

**OIL AND GAS LEASE
PAID-UP**

After recording please return to:
James F. O'Connell,
P.O. Box 7006
Amarillo, TX 79114-7006

THIS AGREEMENT, Made effective May 1, 2017, by and between **Joyce Larene Wells** whose address is RR#1, Box 89, Texhoma, OK 73949 and **Terry Lee Wells, a married man dealing in his sole and separate property** whose address is P.O. Box 660, Canyon, TX 79015, party of the first part, hereinafter called Lessor (whether one or more) and **James F. O'Connell** whose address is P.O. Box 7006, Amarillo, TX 79114-8276, party of the second part, hereinafter called Lessee.

WITNESSETH, That the said Lessor, for and in consideration of Ten and more (\$10.00) Dollars, cash in hand paid, the receipt and sufficiency of which is hereby acknowledged and of the covenants and agreements hereinafter contained on the part of Lessee to be paid, kept and performed has granted, demised, leased and let and by these presents does grant, demise, lease and let exclusively unto the said Lessee, for the sole purpose of exploring by geophysical and other methods, drilling, mining and operating for oil (including but not limited to distillate and condensate), gas (including casinghead gas and helium and all other constituents), and for laying pipe lines, and building tanks, power stations and structures thereon to produce, save and take care, treat, transport and own said substances, all that certain tract of land, together with any reversionary rights therein, situated in the County of Cimarron, State of Oklahoma, described as follows, to-wit:

**The East Half of the Southeast Quarter (E/2 SE/4) of Section 3, Township 1 North, Range 9 ECM
and comprising 80.00 acres, more or less.**

See Exhibit "A" attached hereto and made a part hereof for additional provisions.

It is agreed that this lease shall remain in force for a term of **three (3) years** from the effective date (herein called primary term) and as long thereafter as oil or gas, or either of them, is produced from said land by the Lessee.

In consideration of the premises the said Lessee covenants and agrees:

1st. To deliver to the credit of Lessor free of cost, in the pipe line to which it may connect its wells, the **15.0%** part of all oil (including but not limited to condensate and distillate) produced and saved from the leased premises.

2nd. To pay Lessor for gas of whatsoever nature or kind (with all of its constituents) produced and sold or used off the leased premises, or used in the manufacture of products therefrom, **15.0%** of the net proceeds realized by Lessee for the gas sold, used off the premises, or in the manufacture of products therefrom, such net proceeds to be less a proportionate part of the production, severance and other excise taxes and the cost incurred by Lessee in delivering, processing, compressing or otherwise making such gas merchantable, said payments to be made monthly. During any period (whether before or after expiration of the primary term hereof) when gas is not being so sold or used and the well or wells are shut in and there is no current production of oil or operations on said leased premises sufficient to keep this lease in force, Lessee shall pay or tender a royalty of One Dollar (\$1.00) per year per net royalty acre retained hereunder, such payment or tender to be made, on or before the anniversary date of this lease next ensuing after the expiration of ninety (90) days from the date such well is shut in and thereafter on the anniversary date of this lease during the period such well is shut in to the royalty owners. When such payment or tender is made it will be considered that gas is being produced within the meaning of the entire lease. Lessor shall have the privilege at his risk and expense of using gas from any well, producing gas only, on the leased premises for stoves and inside lights in the principal dwelling thereon out of any surplus gas not needed for operations hereunder.

Lessee is hereby granted the right at any time and from time to time to unitize the leased premises or any portion or portions thereof, as to all strata or any stratum or strata, with any other lands as to all strata or any stratum or strata, for the production primarily of oil or primarily of gas with or without distillate. However, no unit for the production primarily of oil shall embrace more than 40 acres, or for the production primarily of gas, with or without distillate more than 640 acres; provided that if any governmental regulation shall prescribe a spacing pattern for the development of the field or allocate a producing allowable based on acreage per well, then any such unit may embrace as much additional acreage as may be so prescribed or as may be used in such allocation of allowable. Lessee shall file written unit designations in the county in which the leased premises are located. Operations upon and production from the unit shall be treated as if such operations were upon or such production were from the leased premises whether or not the well or wells are located thereon. The entire acreage within a unit shall be treated for all purposes as if it were covered by and included in this lease except that the royalty on production from the unit shall be as below provided, and except that in calculating the amount of any shut in gas royalties, only the part of the acreage originally leased and then actually embraced by this lease shall be counted. In respect to production from the unit, Lessee shall pay Lessor, in lieu of other royalties thereon, only such proportion of the royalties stipulated herein as the amount of his acreage placed in the unit, or his royalty interest therein on an acreage basis bears to the total acreage in the unit.

If at the expiration of the primary term of this lease oil, gas or other minerals are not being produced from the land or land pooled therewith, but Lessee is then engaged in drilling or reworking operations thereon, this lease shall remain in force so long as drilling or reworking operations are prosecuted (whether on the same or different wells) with no cessation of more than ninety (90) consecutive days, and if they result in production, so long thereafter as oil, gas or other minerals are produced from said land or land pooled therewith. If production of oil, gas or other minerals on said land or land pooled therewith should cease from any cause after the primary term, this lease nevertheless shall continue in force and effect as long as additional drilling operations or reworking operations are conducted on said land or land pooled therewith, or as long thereafter as additional operations, either drilling or reworking, are had thereon. Lessee's election to enter and use an existing well and/or wellbore shall be considered the same as the drilling of a new well on the leased premises.

If said lessor owns a less interest in the above described land than the entire and undivided fee simple estate therein, then the royalties herein provided shall be paid to the Lessor only in the proportion which his interest bears to the whole and undivided fee.

Lessee shall have the right to use, free of cost, gas, oil and water produced on said land for its operations thereon, except water from wells of Lessor.

No well shall be drilled nearer than 200 feet to the house or barn now on said premises, without the written consent of the Lessor. Lessee shall pay for all damages caused by its operations to growing crops on said land. Lessee shall have the right at any time to remove all machinery and fixtures placed on said premises, including the right to draw and remove casing.

If the estate of either part hereto is assigned, and the privilege of assigning in whole or in part is expressly allowed, the covenants hereof shall extend to their heirs, executors, administrators, successors or assigns. If while this lease is in force, Lessor's interest in said land is increased in any fashion, such increased interest shall also be covered hereby. However, no change or division in ownership of the land or royalties shall enlarge the obligations or diminish the rights of lessee. No change in the ownership of the land or royalties shall be binding on the Lessee until after the Lessee has been furnished with a written transfer or assignment or a true copy thereof. In case Lessee assigns this lease, in whole or in part, Lessee shall be relieved of all obligations with respect to the assigned portion or portions arising subsequent to the date of assignment.

All express or implied covenants of this lease shall be subject to all Federal and State Laws, Executive Orders, Rules and Regulations, and this lease shall not be terminated, in whole or in part, nor Lessee held liable in damages, for failure to comply therewith, if compliance is prevented by, or such failure is the result of any such Law, Order, Rule or Regulation.

This lease shall be effective as to each Lessor or execution hereof as to his or her interest and shall be binding on those signing, notwithstanding some of the Lessors above named may not join in the execution hereof. The word "Lessor" as used in this lease means the party or parties who execute this lease as Lessor, although not named above.

Lessee may at any time and from time to time surrender this lease as to any part or parts of the leased premises by delivering or mailing a release thereof to Lessor, or by placing a release of record in the proper County.

Lessor warrants and agrees to defend title to said land and agrees that Lessee, at its option, may pay and discharge any taxes, mortgages or other liens existing, levied or assessed against said lands; and if such option is exercised Lessee shall be subrogated to the rights of any holder or holders thereof and may reimburse itself by applying to the discharge of any such mortgage, tax or other lien, any royalty or shut in royalty accruing hereunder.

IN TESTIMONY WHEREOF, we sign this the 28 ^{April} day of ~~May~~, 2017.

LESSOR:

Joyce Larene Wells

LESSOR:

Terry Lee Wells

ACKNOWLEDGMENT

STATE OF OKLAHOMA §
 §
COUNTY OF CIMARRON §

BE IT REMEMBERED, That on this _____ day of _____, 2017 before me, a Notary Public in and for said County and State, personally appeared **Joyce Larene Wells**, to me known to be the identical person described in and who executed the within and foregoing instrument and acknowledged to me that she executed the same as her free and voluntary act and deed for the purposes therein set forth.

IN WITNESS WHEREOF, I have hereunto set my official signature and affixed my notary seal, the day and year first above written.

Notary Public
My Commission Expires _____

ACKNOWLEDGMENT

STATE OF TEXAS §
 §
COUNTY OF RANDALL §

BE IT REMEMBERED, That on this 28th day of April, 2017 before me, a Notary Public in and for said County and State, personally appeared **Terry Lee Wells, a married man dealing in his sole and separate property**, to me known to be the identical person described in and who executed the within and foregoing instrument and acknowledged to me that he executed the same as his free and voluntary act and deed for the purposes therein set forth.

IN WITNESS WHEREOF, I have hereunto set my official signature and affixed my notary seal, the day and year first above written.



Donna S. Bass
Notary Public
My Commission Expires 07-22-20

Exhibit "A"

To that certain Oil and Gas Lease dated effective May 1, 2017 by and between Joyce Larene Wells and Terry Lee Wells, a married man dealing in his sole and separate property as Lessor (whether one or more) and James F. O'Connell as Lessee covering the following described lands situated in the County of Cimarron, State of Oklahoma, described as follows, to-wit:

The East Half of the Southeast Quarter (E/2 SE/4) of
Section 3, Township 1 North, Range 9 ECM and comprising 80.00 acres, more or less.

- a. If this lease is maintained in force and effect two (2) years after the expiration of the primary term hereof, this lease shall nevertheless terminate as to all strata and geologic formations lying one hundred feet (100') below the stratigraphic equivalent of the deepest depth penetrated by any well drilled on the lands covered hereby or on lands pooled herewith. Provided, however, that if on such date, Lessee is then engaged in operations for drilling, completing or reworking, such partial termination shall not occur so long as such operations continue without lapse of sixty (60) days between the cessation of such operations and commencement of additional operations for drilling, completing or reworking.
- b. Prior to the commencement of any operations on said lands, Lessee shall give Lessor and the Surface Owner notice of Lessee's intentions to commence operations, the approximate date of such commencement and the approximate location of same; such notice to be given at least five (5) days prior to the actual commencement of operations. Lessee may not enter upon said lands for any purpose until such notice is timely given and a way of access to said lands has been agreed upon with the Surface Owner.
- c. Lessee will not cut or go over any fence or fences of the Surface Owner in connection with any operations on said lands without first obtaining the Surface Owner's consent. If the Surface owner consents to the cutting of a fence, the cut must be made at the place designated by the Surface Owner, and Lessee shall, prior to cutting any fence, brace the existing fence adequately on both sides of the proposed cuts so that when the fence is cut there will be no slackening of the wires. Lessee agrees that it will use existing gates and roadways for entering upon and leaving said lands and that it will use such routes, roadways and approaches in going upon, over or about said lands as re-designated for its use by the Surface Owner who, in turn, agrees that Lessor will, upon request and in consultation with Lessee, work with Surface Owner and designate a reasonable route for Lessee's purposes consistent with terrain, preservation of improvements and the conduct of the Surface Owner.
- d. Lessee further agrees for itself and for all persons entering or leaving said lands in the connection with Lessee's operations hereunder, that it shall keep all outside and interior gates along the route or routes designated for such use, securely closed (and locked when designated by the Surface Owner to be locked) except immediately before and immediately after each separate use, and further agrees that it will promptly repair any gate, fence or other improvement that may suffer damage or injury by reason of Lessee's operations. Lessee agrees to keep the construction of any new roads to a minimum and, in connection with all the roads used or constructed by Lessee, Lessee agrees to surface such roads in such a manner that they will classify as "all weather" roads of material resulting in a substantial surface, and further agrees to construct such diversion terraces as may be reasonably necessary to reduce soil erosion. If the Surface Owner shall desire, Lessee shall also install and maintain substantial iron cattle guards capable of turning cattle in substitution for any gates on said lands which Lessee uses.
- e. Lessee shall fence all pits dug on said lands in connection with drilling or reworking operations, and within a reasonable time, not to exceed six (6) months after Lessee's use thereof. Lessee shall clean up the well site and remove from the said lands any and all oil spilled, junk material, pieces of iron, pipes, steel, or other debris and foreign material and will level off all mounds, fill all pits, ruts and other excavations (first allowing sufficient time for the same to dry out) and will remove all deleterious material and substances that might cause injury to persons, crops or livestock, and will restore the surface as nearly as may be reasonable done, to its present condition. Lessee further agrees that it will use its best efforts to prevent the escape of salt, oil, noxious waters or other substances and will not permit the same to run onto any surface water tank, water well, creek, ravine, or upon or over the premises, not to penetrate, seep or flow or be injected into any subsurface fresh water strata, but will contain and dispose of the same in keeping with applicable government rules and regulations. Lessee further agrees that it will use its best efforts to prevent fires on said lands and will use its best efforts to prevent, pick up, and remove papers, boxes, sack and containers and waste material of any kind from coming on said land and littering the premises during the term of this lease. Lessee agrees to bury all pipelines below the depth of thirty (30) inches.
- f. Lessee agrees to use reasonable care in the conduct of all operations on said lands to prevent injury or damage to the cattle, livestock, trees, buildings, or other property of Lessor or Surface Owner situated on the surface of said lands or the Surface Owner's water wells and tanks located thereon, and Lessee agrees to pay the Surface Owner, for all damages to cattle, crops, trees, buildings, livestock, fences, tanks, and water wells, and without limitation, all other property of the Surface Owner situated on the surface of said lands resulting from Lessee's operations thereon; and Lessee further agrees to pay the Surface Owner or tenant for all damages to cattle, livestock, trees, grass and other property of the owner/tenant situated on said lands and resulting from Lessee's operations thereon. Without the Surface Owner's written consent, no well shall be located on said lands with two hundred feet (200') of any barn, water well, tank or any other structure on said lands, and further agrees to restore the surface of said lands to as near its original conditions as is reasonably practicable after the completion of each operation conducted hereunder.

Exhibit "A" 'continued'

To that certain Oil and Gas Lease effective May 1, 2017 by and between
Joyce Larene Wells and Terry Lee Wells, a married man dealing in his sole and separate property as Lessor (whether one or
more) and James F. O'Connell as Lessee covering the following described lands situated in the
County of Cimarron, State of Oklahoma, described as follows, to-wit:

The East Half of the Southeast Quarter (E/2 SE/4) of
Section 3, Township 1 North, Range 9 ECM and comprising 80.00 acres, more or less.

- g. After cessation of Lessee's use of any water well drilled by Lessee on said lands, and prior to the plugging or removing the casing there from, Lessee shall tender such water well or wells to the Surface Owner and if the Surface Owner shall elect to accept same, such water well shall be and become the property of the Surface Owner, the well will be plugged below any water bearing sands, and thus plugged to produce a functioning water well. The cost of "shoring" the plugged oil or gas well will be paid by the Surface Owner. The Surface Owner shall have the right to use any water well or wells at any time during the continuance of this lease in connection with the Surface Owner's operations on said land.
- h. It is further expressly agreed and understood that no employee, representative or contractor of Lessee, or any other person allowed to come upon leased lands by Lessee shall be permitted to hunt, fish, swim, camp, or picnic on leased land, and no gun, firearm, or fishing equipment or other type of sport paraphernalia will be permitted on the premises. In the event anyone connected with Lessee's operations is found upon the premises in violation of the above covenant, they shall be considered as a trespasser and the Surface Owner may file such charges as may be appropriate under the laws of the State of Oklahoma against such party or parties, and may thereafter exclude such party or parties from entry upon said lands for any purposes.
- i. Prior to erecting any storage tanks, constructing pipelines, compressor stations, or other lease facilities, required by Lessee for producing oil and gas and operating this lease, Lessee shall advise the Surface Owner of Lessee's intentions, and the Surface Owner and Lessee shall mutually decide upon the location of such facilities, taking into consideration the surface use by owner and Lessee's needs in conducting its operations.
- j. Lessee shall have no right to use the surface or subsurface of said lands for purposes of conducting any operations except for wells drilled and completed solely on said lands under the terms of this lease.

Signed for Identification Purposes:

LESSOR:

Joyce Larene Wells

LESSOR:

Terry Lee Wells

Terry Lee Wells

End Exhibit "A"

I-2017-000928 Book 0395 Pg: 818
05/09/2017 1:08 pm Pg 0814-0818
Fee: \$ 21.00 Doc: \$ 0.00
Gina Richardson - Cimarron County
State of Oklahoma

